

IN THE SENATE

SENATE BILL NO. 1321

BY STATE AFFAIRS COMMITTEE

AN ACT

RELATING TO THE STATE CONTROLLER; AMENDING SECTION 67-1085A, IDAHO CODE, TO
REVISE PROVISIONS REGARDING REPORTING REQUIREMENTS AND TO ESTABLISH
PROVISIONS REGARDING NONCOMPLIANCE; AND DECLARING AN EMERGENCY AND
PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 67-1085A, Idaho Code, be, and the same is hereby
amended to read as follows:

67-1085A. STATE AGENCY AGREEMENT REPORTING REQUIREMENTS. (1) As used
in this section:

(a) "Agency" means any state officer, department, division, bureau, or
agency of the state of Idaho.

(b) "Agreement" includes any legally binding contract, MOU, or MOA en-
tered into by an agency with external entities.

(c) "Master agreement" means a contract outlining general terms for a
business relationship with specific sub-agreements that are subject to
the master agreement's terms.

(d) "Memorandum of agreement" or "MOA" means a legally binding agree-
ment defining the terms, obligations, and responsibilities of the par-
ties.

(e) "Memorandum of understanding" or "MOU" means a non-binding agree-
ment outlining a common understanding or objective between two (2) or
more parties.

(f) "Sub-agreement" means a contract subordinate to a master agreement
that outlines specific terms or obligations.

(2) Agencies shall report any executed MOU, MOA, or agreement, in-
cluding sub-agreements, regardless of fund source, to the state controller
within ten (10) business days of execution.

(3) Reports required pursuant to subsection (2) of this section shall
be submitted through the designated state controller reporting portal and
must include:

(a) A document title;

(b) The date of execution and end date, if applicable;

(c) A list of participating entities;

(d) A brief summary or purpose;

(e) An agency contact person's name, email, and phone number;

(f) Any amendments or modifications to the agreement; and

(g) The monetary value of the agreement, including total contract cost,
funding sources, and payment schedule, if applicable.

(4) Amendments to existing agreements shall not require separate re-
porting but shall be updated in the original submission, including the date

1 of the last amendment and updated end date if the amendment extended the term
2 of the agreement.

3 (5) (a) The following agreements are exempt from the provisions of this
4 section and are not required to be reported:

5 (i) Employment-related agreements with state employees, exclud-
6 ing settlement agreements;

7 (ii) Routine financial documents such as invoices and purchase
8 orders used in the ordinary course of business;

9 (iii) Student housing and financial aid agreements between insti-
10 tutions and students; and

11 (iv) Template agreements with standard terms used for short-term
12 incidental purposes.

13 (b) Statewide contracts executed by the department of administration,
14 division of purchasing, shall be reported by the department of admin-
15 istration, except that sub-agreements executed by individual agencies
16 shall be reported by the agency executing the sub-agreement.

17 (6) Each agency shall annually review, update, and certify the accuracy
18 and completeness of its reported agreements by January 1 of each year. The
19 certification must be signed or acknowledged by the agency head or an autho-
20 rized representative.

21 (7) (a) The state controller shall maintain and publish a centralized
22 publicly accessible list of reported agreements, subject to public
23 records exemptions under chapter 1, title 74, Idaho Code. At a minimum,
24 the publicly available information shall include the information re-
25 quired to be reported under subsection (3) of this section.

26 (b) The state controller shall monitor agency compliance, and may pro-
27 vide assistance to agencies, ~~and may report non-compliance to the gov-~~
28 ~~ernor and legislature~~ an agency in meeting the requirements of this sec-
29 tion.

30 (c) Should the state controller become aware of an agency's failure
31 to report as required pursuant to subsection (2) of this section, the
32 state controller shall provide prompt written notice to the agency of
33 such failure, whereupon the agency shall cure the noncompliance within
34 thirty (30) days of the date of receipt of such written notice or notify
35 the state controller it will comply by a time certain, not to exceed
36 sixty (60) days from the date of notice of noncompliance.

37 (d) The state controller shall prepare an annual report of any agency
38 that fails to cure its noncompliance as provided in paragraph (c) of
39 this subsection. Such report shall be provided to the legislative ser-
40 vices office on or before January 5 of each year.

41 (e) An agency that remains noncompliant after an opportunity to cure
42 its noncompliance may be subject to potential budgetary holdbacks for
43 the following fiscal year at the discretion of the joint finance-appro-
44 priations committee, upon the approval of the budget by the legislature
45 and subject to the final approval of the governor.

46 (f) The state controller shall have authority to develop and maintain
47 a guidance policy to carry out the provisions and requirements of this
48 section, including the manner of reporting agreements to its report-
49 ing portal, and shall publish such policy in the same location where the
50 list of reported agreements is published.

1 SECTION 2. An emergency existing therefor, which emergency is hereby
2 declared to exist, this act shall be in full force and effect on and after
3 July 1, 2026.